

Judgment Sheet
IN THE LAHORE HIGH COURT
MULTAN BENCH MULTAN
Judicial Department

F.A.O.No.234 of 2011

MEPCO, etc.

Versus

Muhammad Islam.

JUDGMENT

Date of hearing: **24.05.2018**

Appellants by: Mr. Aamer Aziz Qazi, Advocate

Respondent by: Ex-parte vide order dated 16.01.2018

MUZAMIL AKHTAR SHABIR, J: The appellants are aggrieved of the order dated 26.10.2011 passed by Presiding Officer, District Consumer Court, Multan, whereby the complaint filed by the respondent was accepted by holding that the respondent is not a defaulter and the appellants were directed to reinstall the electricity meter of the respondent and restore connection immediately.

2. Brief facts of the case are that the respondent filed a complaint against the appellants under Section 13 of the Punjab Consumer Protection Act, 2005 (**‘Act’**), contending therein that he is consumer of electricity provided by MEPCO and he is not a defaulter but his meter has been disconnected due to some amount outstanding as electricity charges against his brother Umar Draz. The appellants were summoned by the learned Presiding Officer, District Consumer Court, Multan and they submitted their

detailed written reply. The learned Presiding Officer vide order dated 26.10.2011 accepted the complaint filed by the respondent with the direction to the appellant to reinstall the meter of the respondent and restore electricity connection immediately with further observation that in case the respondent is a defaulter then the meter should not be again disconnected without giving prior notice to the respondent in accordance with law. The said order is under challenge through this appeal.

3. It has been argued on behalf of the appellants that the District Consumer Court does not have jurisdiction to entertain the matter regarding re-installation of the electricity meter disconnected on the ground that the respondent is a defaulter as he was providing electricity for the commercial purposes to his brother Umar Draz from his domestic meter in violation of the agreement with the appellants and for the said reason meter of the petitioner has been disconnected and removed in accordance with law. It is also argued that the order of restoration of electricity connection is without jurisdiction and is consequently liable to be set aside.

4. Heard. Record perused.

5. It has been noticed that the respondent has been proceeded against ex-parte vide order dated 16.01.2018 passed by this Court and the said order still holds the field.

6. The appellants distribute and supply electricity to a large number of customers within its territorial jurisdiction under a Distribution License granted by National Electric Power Regulatory Authority ('NEPRA') pursuant to the Regulation of Generation, Transmission and

Distribution of Electric Power Act, 1997, whereas the respondent is their consumer and customer having got installed the electricity meter and connection for receiving electricity supply from them. The appellants disconnected the electricity connection of the petitioner on the ground that through the domestic meter installed at his premises, he was supplying electricity to his brother for his shop for commercial purposes and the petitioner was consequently treated as a defaulter. The respondent through a complaint filed under the Act took the matter relating the disconnection before the consumer court, which has passed the order directing the appellants for restoration of the electricity supply to the respondent. The pivotal question to be resolved by this Court is whether the Consumer Court possessed the jurisdiction to take cognizance of the matter in hand. As per the preamble of the Act, the Punjab Consumer Protection Act, 2005 has been promulgated to provide protection and promotion of the rights and interests of the consumers and the claim before the learned Consumer Court is filed under Section 25 of the Punjab Consumer Protection Act 2005, which reads as under:-

25. Filing of Claims. A claim for damages arising out of contravention of any provision of this Act shall be filed before a Consumer Court set up under this Act.

Section 13 of the Punjab Consumer Protection Act 2005 provides for liability for faulty or defective service, which reads as under:-

13. Liability for faulty or defective services. A provider of services shall be liable to a consumer for damages proximately caused by the provision of services that have caused damage.

Section 14 of the Punjab Consumer Protection Act 2005 provides for standard of provision of services, which reads as under:-

14. Standard for provision of services. (1). Where the standard of provision of a service is regulated by a special law, provincial or federal, the standard of service shall be deemed to be the standard laid down by such special law.

(2). Where the standard of a service has not been provided for in any law or by the professional or trade body concerned, the standard shall be that which at the time of the provision of the service, a consumer could reasonably expect to obtain at that time in Pakistan.

7. Section 14 provides for the standard of service, which is to be according to the law to which the dispute relates, which is the present case is the Electricity Act, 1910 and section 13 provides for liability for faulty services. Section 25 of the Punjab Consumer Protection Act, 2005 provides that a claim for damages arising out of contravention of any provision of this Act shall be filed before a Consumer Court set-up under this Act. This Section has to be read in conjunction with Section 28 of the Act which provides a mechanism for settlement of claims. Section 30 provides procedure of receipt of complaint and further proceedings in the matter and section 31 deals with the nature of relief which can be ordered by the Consumer Court. The section 31 of the Act is reproduced as under:-

“31. Order of Consumer Court.- If, after the proceedings conducted under this Act, the Consumer Court is satisfied that the products complained against suffer from any of the defects specified in the claim or that any or all of the allegations contained in the claim about the services provided are true, it shall issue an order to the defendant directing him to take one or more of the following actions, namely-

- (a). to remove defect from the products in question;***
- (b) to replace the products with new products of similar description which shall be free from any defect;***
- (c) to return to the claimant the price or, as the case may be, the charges paid by the claimant;***
- (d) to do such other things as may be necessary for adequate/and proper compliance with the requirements of this Act;***
- (e) to pay reasonable compensation to the consumer for any loss suffered by him due to the negligence of the defendant;***

*(f) to award damages where appropriate;
(g) to award actual costs including lawyers' fees incurred on the legal proceedings;
(h) to recall the product from trade or commerce;
(i) to confiscate or destroy the defective product;
(j) to remedy the defect in such period as may be deemed fit; or
(k) to cease to provide the defective or faulty service until it achieves the required standard."*

The Consumer Court established under the Punjab Consumer Protection Act, 2005 is not a Court of general jurisdiction and has to confine itself to the dispute pending adjudication before it if the same falls within the jurisdiction of the said court. It is the duty of the said court to examine the allegations raised in the complaint and also take into consideration the defence of the other party in order to determine whether the dispute is within its jurisdiction. Even if the question of jurisdiction has not been raised, the court was under obligation to decide as to whether the facts of the case referring to the matter confer jurisdiction upon the Court to entertain and decide the same. As and when the Consumer Court steps out of four corners of Punjab Consumer Protection Act, 2005, order passed by it would be a result of defective exercise of jurisdiction.

8. Perusal of the contents of the complaint suggest that grievance of the respondent was that he is not a defaulter and the appellants did not serve him any notice prior to removal of meter and did not provide any opportunity of hearing. Allegation by the appellants is that the respondent was supplying the electricity to his brother Umar Draz for commercial purpose through the domestic meter and in fact was involved in dishonest abstraction of energy amounting to theft. In case there is a charge on the

consumer for theft of energy through the metering equipment, then the matter would fall within the jurisdiction of the Electricity Inspector otherwise if the theft is not through the metering equipment, the same falls within the jurisdiction of the Civil Courts. Reliance is placed on **PLD 2006 Supreme Court 328** (*Multan Electric Power Company Ltd. Through Chief Executive and another versus Muhammad Ashiq and others*) and **PLD 2012 Supreme Court 371** (*Water and Power Development Authority and others versus Kamal Food (Pvt.) Ltd. and others*). The relevant portion of the case of Muhammad Ashiq (supra) on the said subject is reproduced below:-

‘The question as to the scope of sections 26-A and 26(6) of Act No. IX of 1910, in a case of theft of energy came under examination of a learned Full Bench of the Lahore High Court in Water and Power Development Authority and others v. Mian Muhammad Riaz and another PLD 1995 Lahore 56 and it was held as follows:-

“The jurisdiction of the Electric Inspector is the provision of Section 26(6) with reference to the meter or the maximum demand indicator or the measuring apparatus, supplied for ascertaining the supply of energy consumed at the premises. The amount of the bill for dishonest abstraction and the method adopted, would not be challengeable in contemplation of Section 26-A before the Electric Inspector as the consumer who wishes to challenge the same will have to seek his remedy under the general civil law by initiating appropriate proceedings before the Civil Court of plenary jurisdiction. The Electric Inspector by straining the language cannot assume the jurisdiction which the legislature has not conferred on him and in its wisdom has left the parties to avail of the remedy under the General law from the judicial forum itself which forum having the plenary jurisdiction is best suited to decide the question after holding proper enquiry and on the basis of proper evidence.”

9. From the perusal of the afore-referred judgment it is observed that the dispute relating to electricity supply is determinable by either the Electric Inspector or the Civil Court of Plenary jurisdiction according to the content of the actual dispute between the parties. The question arises whether in the presence of the said remedies provided by law, whether the

Consumer Court would have jurisdiction to try the said dispute. Section 31 of the Punjab Consumer Protection Act, 2005 provides for the nature of relief which can be granted by the Consumer Court. The bare perusal of Section 31 of the Act would make it explicit that District Consumer Court cannot entertain the dispute relating to supply of energy to the brother of the respondent for commercial purposes through a domestic meter and declare the respondent as not a defaulter and restore his electricity connection. When the afore-referred relief could not be entertained and decided by the Consumer Court, then instead of exercising its jurisdiction to pass the final order it should have first determined the question of its own jurisdiction to entertain the dispute as a preliminary legal issue. Reliance in this behalf is placed on Sub-Divisional Officer (Operation), FESCO vs. Muhammad Ilyas (2016 CLC 1417), wherein it is laid down as under:

“A perusal of the above provisions shows that in order to invoke the jurisdiction by the Consumer Court, it must have satisfied that the products complained against suffered from any of the defects specified in the claim or that any or all of the allegations contained in the claim about the services provided are true, then it could issue direction in the above said manner. However, from the bare reading of the complaint filed by the respondent before the learned Consumer Court, one can find that it is not regarding any defective product or a faulty service rather the dispute raised by the appellant related to correction of detection bill, which falls within the exclusive jurisdiction of Civil Court in view of dictum laid down in PLD 2006 SC 328, rightly relied upon by the learned counsel for the appellant.”

10. In case titled FESCO and others vs. Sh. Muhammad Jamil (2016 CLC 1104), this court observed as under:

“The respondent in his application questioning the impugned demand of electricity as exorbitant has sought for perpetual injunction restraining the appellants from disconnecting his electricity connection and mandatory injunction for restoration of the previous connection. The Consumer Court is not vested with the jurisdiction to

take the cognizance of the respondent's grievance. The relief prayed for by the respondent could not be granted by the Consumer Court under the Act of 2005. In view of the above the learned Consumer Court had not jurisdiction to issue any permanent or mandatory injunction against the appellants therefore, the impugned order dated 19.08.2013 being without jurisdiction is not tenable and liable to be set aside."

11. In the present case, the electricity connection of the petitioner was disconnected and the meter was removed on the allegation of supplying energy to his brother for commercial purposes through domestic meter, thereby dishonestly abstracting energy which amounted to theft and the petitioner sought relief of declaration that he is not a defaulter and mandatory injunctions for restoration of his electricity connection, which relief was provided by the said court without even properly considering the real controversy in issue and determining whether the said power vested in the court, whereas the said power did not actually vest with the consumer court. The Court under section 13 of the Act, could only determine liability of the service provider to the consumer for damages proximately caused by the provision of services that have caused damage or under section 31(k) of the Act direct the appellants to cease to provide the defective or faulty service until required standards were achieved, which was not the dispute under determination in the present case and the learned Consumer Court has exercised the jurisdiction in excess of the jurisdiction vested in it by the law, therefore, the order dated 26.10.2011 was passed without jurisdiction and is liable to be set aside.

12. For what has been discussed above, this appeal is **allowed** and the complaint and claim filed by the respondent before the District

Consumer Court is declared to be not maintainable and resultantly the impugned order dated 26.10.2011 is set-aside as having been passed without jurisdiction.

(MUZAMIL AKHTAR SHABIR)
JUDGE

Approved for reporting.

JUDGE

Zeeshan Khan